WELCOME

to

Market and its characteristics

What is Market?

The essentials of a market :

- A commodity which is dealt with;
- The existence of buyers and sellers;
- Such intercourse between buyers and sellers that only one price should prevail for the same commodity at the same time.

Classification of Markets:

- **Area:**
  - **Local**
  - **National and**
  - **World markets**

- **Time:**
  - **A particular day**
  - **Moment**
  - **Short period etc.**

Classification of Markets:

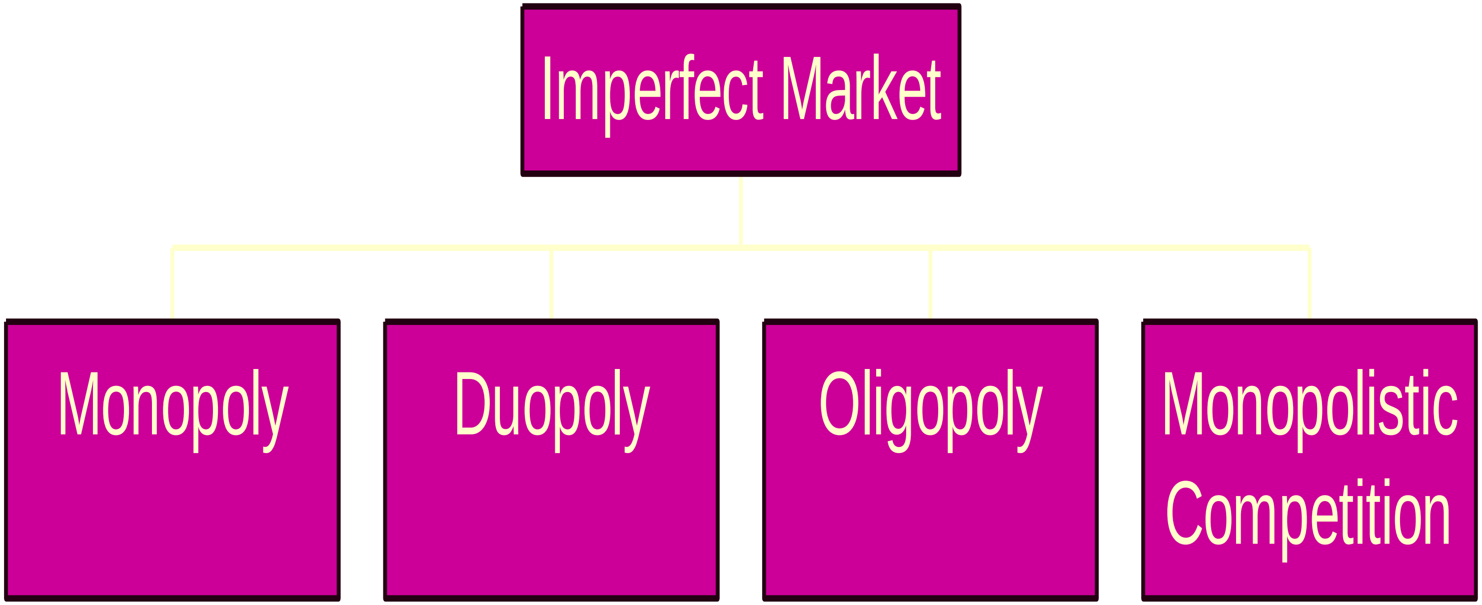
- **Nature of competition:**

- **No. of buyers and sellers**
- **Product type**
- **Pricing policy**
- **Entry/exit restrictions etc.**

Market structure according to nature of competition

Imperfect Competition :

In the imperfect competition situation, the types of market are, say monopolistic competition.



Characteristics of market at a glance:

Perfect competition:

- Many buyers, many sellers.
- Homogeneous product.
- Price taker.
- No barriers to entry and exit.

Characteristics of market at a glance:

Monopoly:

- Many buyers, only one seller.
- Differentiated product.
- Charges high price based on product differentiation.
- Barriers to entry and exit.

Monopoly :


Dhaka Power Distribution Company Limited
DPDC
DESCO
POWER IS YOURS
WZPDCL
NESCO

Characteristics of market at a glance:

Monopolistic:

- **Many buyers, many sellers.**
- **Slightly differentiated product.**
- **Charges slightly,differentiated price based on slight product differentiation.**
- **Relatively easy entry and exit.**

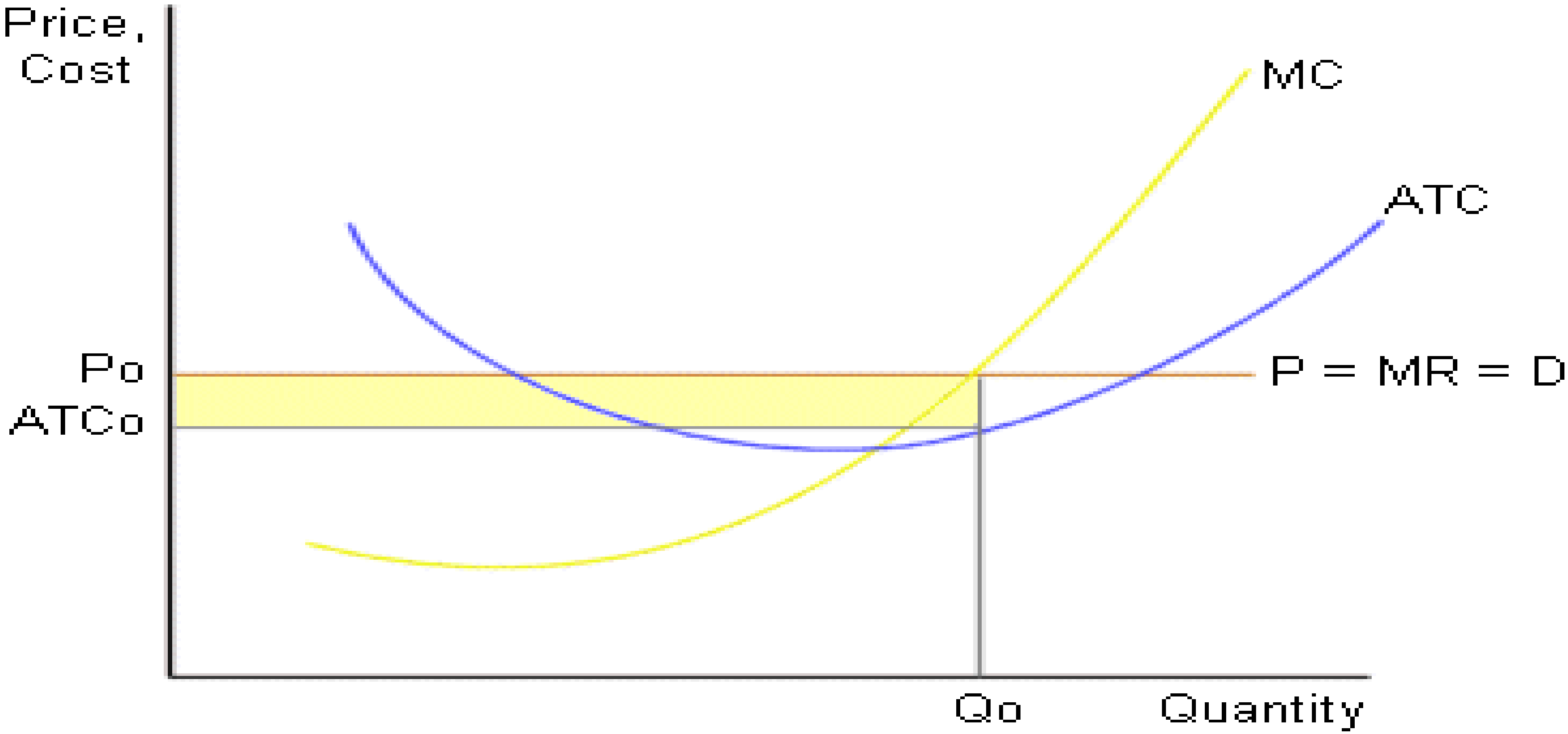
Characteristics of market at a glance:

Oligopoly:

- Many buyers, Few sellers.
- Differentiated product
- Firms are interdependent.They follow the actions taken by their rivals regarding price, quantity, strategy making e.t.c.
- Restricted entry and exit.

Oligopoly :

Profit and Loss analysis

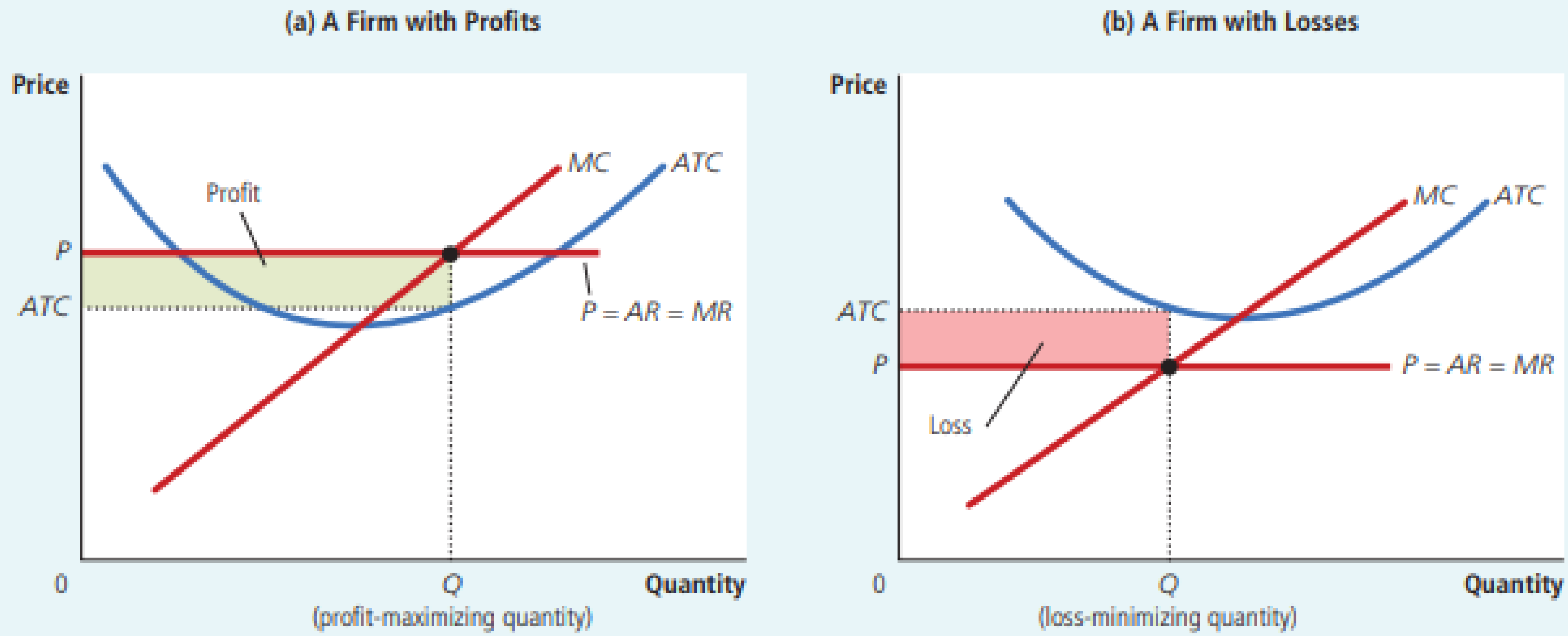


Profit and Loss analysis of perfect competition

FIGURE 5

Profit as the Area between Price and Average Total Cost

The area of the shaded box between price and average total cost represents the firm's profit. The height of this box is price minus average total cost ($P - ATC$), and the width of the box is the quantity of output (Q). In panel (a), price is above average total cost, so the firm has positive profit. In panel (b), price is less than average total cost, so the firm incurs a loss.



Thank You EVERY ONE